

WEBULL CORPORATION

(NASDAQ: BULL)

Cash Is the Floor, the Business Is Nearly Free

BUY — \$9.00 Target

Equity Research Note · Financials — Capital Markets / Online Brokerage · October 4, 2026

| Recommendation | 12-Mo. Price Target | Current Price | Implied Upside | Risk Rating |
|----------------|---------------------|---------------|----------------|-------------|
| BUY            | \$9.00              | \$7.34        | +22.6%         | Medium-High |

Current price as of October 2, 2026 close.

Snapshot

|                                |                            |               |                                         |
|--------------------------------|----------------------------|---------------|-----------------------------------------|
| Market cap                     | ~\$3.5 bn (at \$7.34)      | Q2 2026       | Record revenue; \$34.7 mn pretax profit |
| Net cash (Jun 2026)            | ~\$1.85 bn (~\$3.89/share) | Revenue model | PFOF + net interest + subscriptions     |
| Enterprise value               | ~\$1.6 bn                  | Footprint     | 40+ markets; 20M+ registered users      |
| 52-week range                  | ~\$4.50 – \$14.51          | Listed        | April 2025 (SPAC merger)                |
| 2025 revenue / adj. net income | \$571 mn / \$84.2 mn       | Next catalyst | Q3 2026 earnings                        |

1 Investment Thesis

The arithmetic of Webull at \$7.34 is almost insultingly simple. The company sits on roughly \$1.85 billion of net cash against a ~\$3.5 billion market capitalization. Subtract the cash and the market values the entire operating franchise — a profitable brokerage doing \$571 million of 2025 revenue across 40-plus markets, one of the top retail options-trading platforms in the US — at about \$3.45 a share, or \$1.6 billion. That is under 3x revenue for the operating company, cash-adjusted. Our mid-cycle base case values the operating business alone at \$4.89 a share (\$8.78 fair value minus \$3.89 of cash). Investors are being offered the business for less than a deliberately harsh mid-cycle DCF says it is worth, with the cash truncating the left tail.

Why is it this cheap? The reason is legible and it is exactly one thing: payment for order flow is the regulatory target. The EU has already banned it, the SEC has kept reform on the table for years, and 2026’s trading-volume boom will normalize, because retail volumes always do. Our bear case models precisely that future — US take-rates compressed ~30%, European economics dead, revenue crawling at a 2.5% CAGR to \$730 million by 2035, marketing staying intense, the governance discount persisting — and the equity is still worth \$4.95, with roughly three-quarters of that being touchable cash. The base case asks for no heroics: an 11.9% revenue CAGR fading to single digits, adjusted-net margins settling at a mid-cycle 18%, self-clearing savings offsetting marketing intensity. That is \$8.78, and the probability-weighted math is \$8.91, rounded to our \$9 target.

The forward-looking judgment: Webull’s international footprint is the underpriced asset. Forty-plus markets means the growth story is not hostage to US regulation alone — if US payment for order flow is gutted, the user-acquisition machine across the UK, Europe, Asia-Pacific, and Latin America keeps compounding, and self-clearing grinds unit costs down everywhere. The base case does not need the US to stay perfect; it needs the company to keep adding users and monetizing them internationally while the cash pile grows. That is a reasonable ask for \$3.45 a share of operating value.

At roughly 5.5 to 6 times trailing sales, Webull trades at about a third of Robinhood's multiple while growing revenue faster. That gap reflects SPAC stigma and post-listing selling overhangs more than fundamentals: the stock spiked toward \$80 within days of the April 2025 listing on a \$37 billion implied valuation, then fell roughly 90% as the market priced it as a broken deal rather than a business. The second quarter of 2026 was the best in company history — record revenue, a \$34.7 million pretax profit, and revenue growth leading scaled US retail brokers. Two or three more clean quarters, and the SPAC discount has no reason to persist. BUY.

### Why own it

- **Cash is the floor, not the thesis.** \$1.85 billion of net cash — ~44% of base-case fair value — near-zero debt, and ~\$5 million of annual maintenance capex. Adjusted net income is, for practical purposes, owner earnings, which is why the model discounts it directly as free cash flow to equity.
- **A real, profitable business at scale.** \$571 million of 2025 revenue and \$84.2 million of adjusted net income (~15% margin), growing — not a concept stock burning cash to buy users.
- **The international option.** 40-plus countries. If US payment for order flow is regulated away, the non-US growth engine is already built and compounding — the exact offset the bear case requires.
- **Self-clearing as a margin lever.** Clearing-cost takeout drops straight to the bottom line and scales with volume; the structural offset to marketing intensity in the base case.

## 2 Business Overview — What Webull Corporation Is Doing

(St. Petersburg, Florida; CEO Anquan Wang)

Webull Corporation, founded in 2016 by Anquan Wang (a former Alibaba executive) and headquartered in St. Petersburg, Florida, operates a commission-free, mobile-first trading platform aimed at self-directed retail investors. It launched in the United States in 2018, gained traction during the 2020–2021 retail trading wave, and — to address US-China regulatory concerns — separated from its Chinese parent, re-domiciled in the US, and went public in April 2025 via a SPAC merger with SK Growth Opportunities Corp, listing on Nasdaq under ticker BULL.

The platform differentiates on depth rather than simplicity: professional-grade charting, extended-hours trading, advanced order types, and paper-trading tools aimed at active self-directed investors — the highest-turnover, highest take-rate segment of the retail market. The footprint is the differentiator versus US-centric peers: licensed operations in 40-plus markets spanning North America, Europe, Asia-Pacific, Latin America, and the Middle East, with 20 million-plus registered users globally. Revenue comes from four streams: payment for order flow (the dominant transaction line, especially options), net interest income on customer cash balances and securities lending, subscriptions (premium tiers with Level 2 data and margin-rate discounts), and relaunched crypto trading. The company is migrating toward self-clearing, which removes per-trade clearing fees and is the main structural margin lever over the model horizon.

### What the company is doing now

- **Three compounding growth levers.** International markets (retail-investor populations earlier in their adoption curve than the US; analysts expect 25%+ annual revenue growth through 2027); the crypto trading relaunch (a high-margin, high-engagement product competitors monetize aggressively); and conversion — with 20 million-plus registered users against a much smaller funded-account base, each point of conversion is operating leverage.
- **Competitive position.** Webull sits between Robinhood (the larger US retail brand, similar PFOF dependence) and the incumbents (Schwab/Fidelity, scale and banking attach) on one side, and eToro/Interactive Brokers on international/social and pro-sumer axes on the other. Its edge is product depth for active traders plus a genuine multi-region footprint few retail brokerages have built.

## 3 Financial Analysis

| \$ mn   | 2025A | 2026E | 2027E | 2028E |
|---------|-------|-------|-------|-------|
| Revenue | 571   | 790   | 950   | 1,090 |

| \$ mn               | 2025A | 2026E | 2027E | 2028E |
|---------------------|-------|-------|-------|-------|
| Revenue growth      | —     | +38%  | +20%  | +15%  |
| Adjusted net income | 84.2  | ~115  | ~152  | ~191  |
| Adjusted net margin | 14.7% | 14.5% | 16.0% | 17.5% |

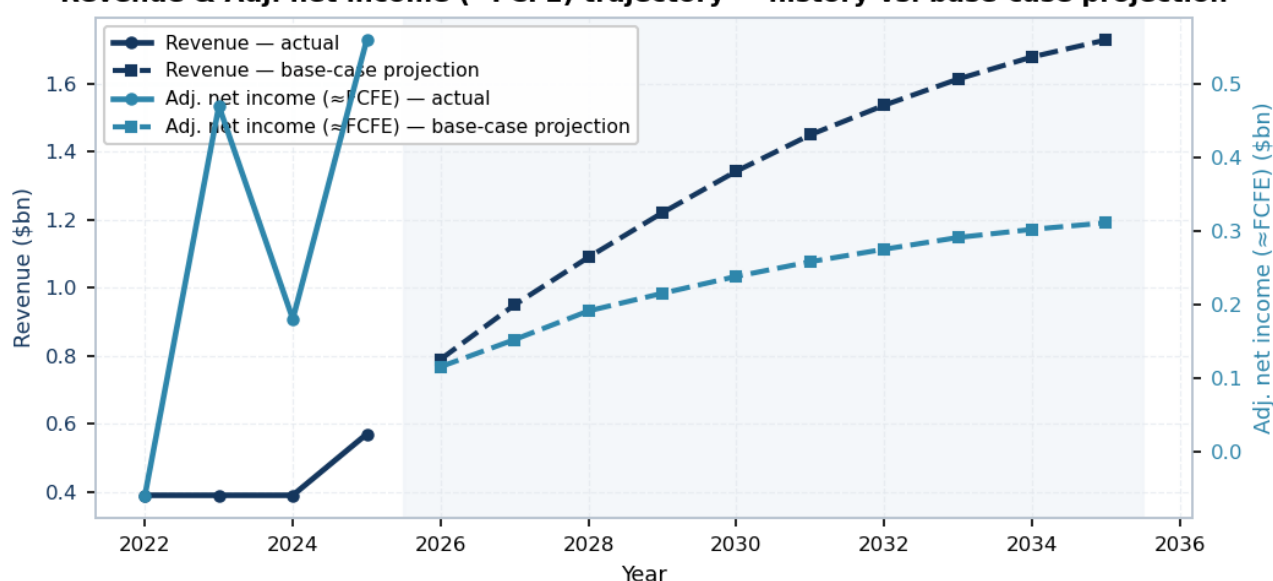
2025 figures are company-reported. 2026+ are base-case model projections, not guidance.

Four revenue streams, two of them cyclical. Payment for order flow and crypto scale with retail trading volumes (the 2026 boom flatters both); net interest income scales with rates and customer cash balances; subscriptions are the only genuinely recurring line and the smallest. This is why the model treats reported operating cash flow with suspicion — brokerage free cash flow is polluted by customer and clearing-balance movements — and discounts adjusted net income as the FCFE proxy instead. The firm is net-cash with near-zero debt and ~\$5 million of annual maintenance capex, so adjusted net income is, for practical purposes, cash owner earnings.

The base-case financial path (2025 actual, 2026+ projected): revenue \$571M → ~\$790M → ~\$950M → ~\$1,090M (2025A–2028E), with revenue growth fading from the 2026 volume boom toward single digits by the early 2030s and margins gliding to a normalized mid-cycle 18%. The bear case models PFOF compression plus volume normalization explicitly — revenue crawling at 2.5% CAGR to \$730 million by 2035 — and still yields \$4.95, because the cash floor does the work.

### Revenue & cash-flow trajectory

#### Revenue & Adj. net income (≈FCFE) trajectory — history vs. base-case projection



History: revenue and operating-CF-minus-capex (Yahoo). Projection: base-case adjusted net income, the series the DCF discounts as FCFE. Shaded = projection.

## 4 Moat & Competition

- **Multi-region licensed footprint.** Licensed broker-dealer operations in 40-plus markets are expensive and slow to replicate; they give Webull growth avenues beyond the saturated US retail brokerage market and a natural hedge against US-centric regulation.
- **Active-trader product depth.** Extended-hours trading, deep options analytics, and paper trading create switching costs for the highest-turnover retail segment — the segment with the best unit economics.
- **Self-clearing cost structure.** Migrating clearing in-house removes per-trade third-party fees; the savings scale with volume and drop straight to the bottom line.

- **Balance-sheet optionality.** \$1.85 billion of net cash funds international expansion and share repurchases without dilution — a luxury most growth brokerages do not have.

## 5 Valuation — 10-year scenario FCFE DCF (adjusted net income $\approx$ FCFE), Fair Value \$9

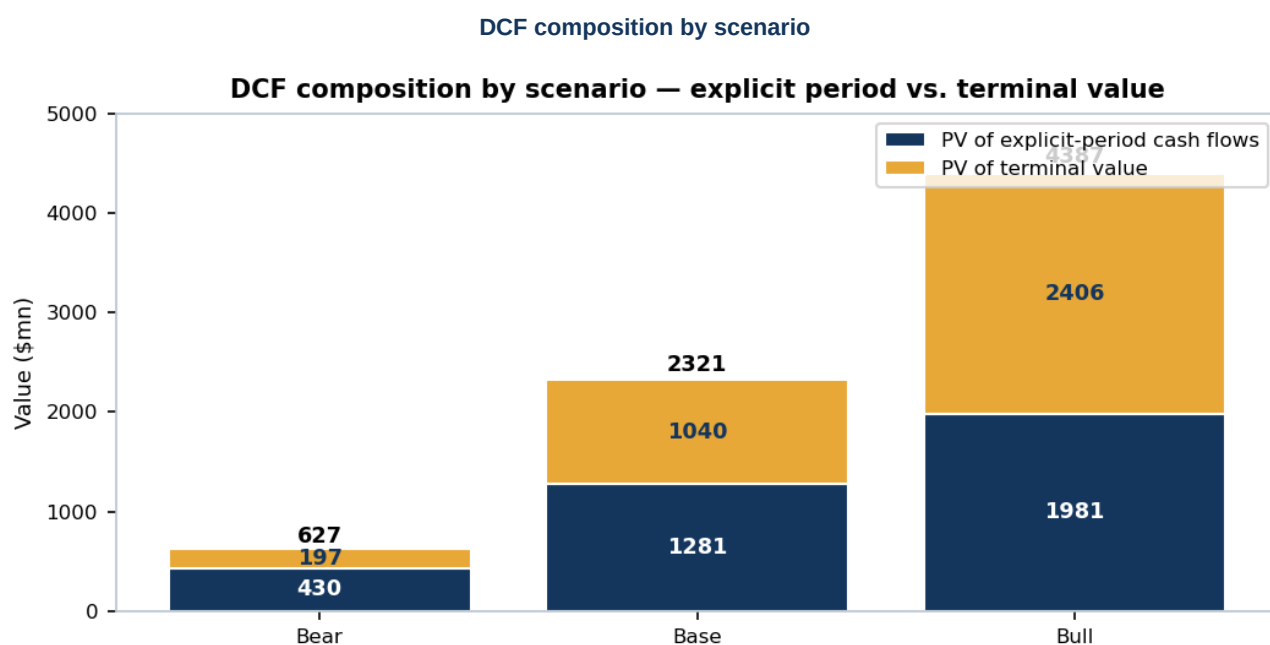
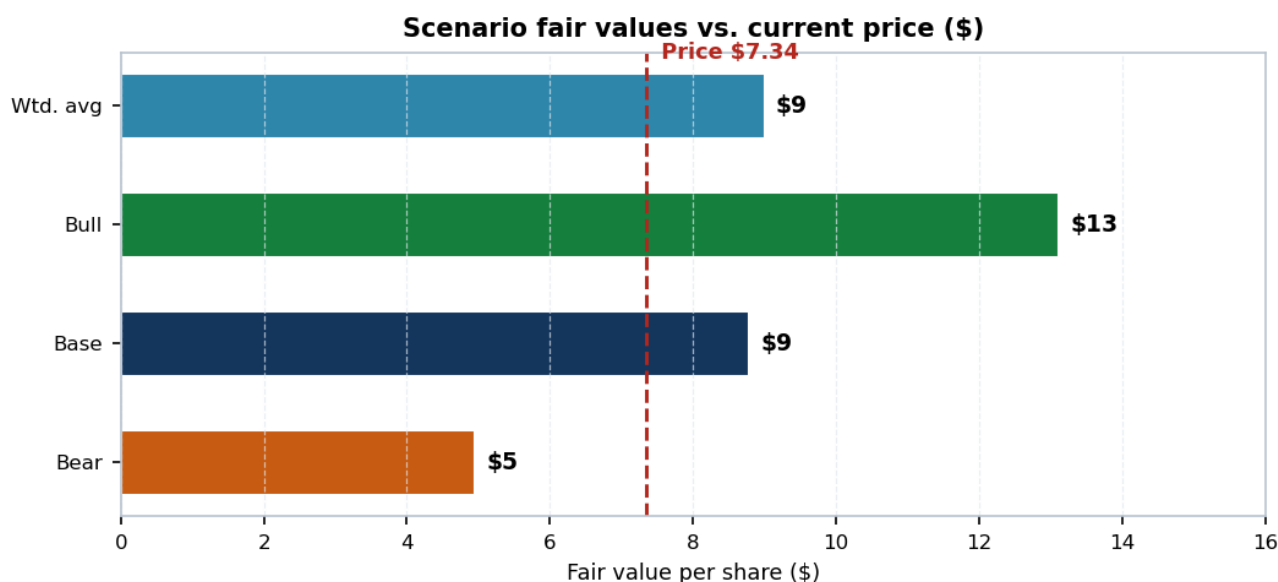
We value Webull on a 10-year scenario DCF on adjusted net income  $\approx$  FCFE, weighted bear 25% / base 50% / bull 25%, with scenario-specific discounts: bear 14.5% (base + 250bp), base 12.0% (the speculative tier — PFOF regulatory overhang, volume cyclicality, governance discount), bull 10.5% (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.5% on year-10 earnings at normalized mid-cycle margins (14% / 18% / 20%) — never peak margins. Net cash of \$1,847M is added to enterprise value in all scenarios; bear-case share count is 500M (dilution under stress) versus 475M in base/bull. Terminal value is 31–55% of EV across scenarios — no TV-dependence haircut needed.

What the price implies: at \$7.34, the market values the operating business at  $\sim$ \$3.45 a share ex-cash — below the operating value of the base case (\$8.78 – \$3.89 cash = \$4.89 a share). The market prices the operating business as though the PFOF bear case is the expected outcome, while paying nothing for the international growth option or self-clearing leverage. That asymmetry is the BUY.

| Scenario | Key assumptions                                                                                                                                                            | Rev CAGR | End margin | Discount / term. g | TV share | Fair value |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|------------|--------------------|----------|------------|
| Bear     | US take-rates compressed $\sim$ 30%, European PFOF economics dead, revenue crawling at 2.5% CAGR to \$730M by 2035, marketing stays intense, governance discount persists. | +2.5%    | 14%        | 14.5% / 1.0%       | 31%      | \$4.95     |
| Base     | 11.9% revenue CAGR fading to single digits, adjusted-net margins settling at a mid-cycle 18%, self-clearing savings offsetting marketing intensity.                        | +11.9%   | 18%        | 12.0% / 2.0%       | 45%      | \$8.78     |
| Bull     | Webull closes a meaningful portion of the Robinhood multiple gap as clean quarters accumulate; international conversion and crypto scale together.                         | +16.1%   | 20%        | 10.5% / 2.5%       | 55%      | \$13.12    |
| Wtd. avg | Probability-weighted (25/50/25) $\rightarrow$ <b>\$9.00 target</b>                                                                                                         |          |            |                    |          | \$9.00     |

Probability-weighted DCF value is \$8.91 ( $0.25 \times \$4.95 + 0.50 \times \$8.78 + 0.25 \times \$13.12$ ), rounded to our \$9 target. Composition is on an EV basis; \$1,847M of net cash is added to reach equity fair value in every scenario.

### Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

## 6 Risks & Falsification

### Key risks

- US payment-for-order-flow ban or severe take-rate compression.** The single thesis-breaking risk. The EU ban is the template; if the SEC bans PFOF or take-rates compress  $\geq 30\%$  with no international offset, 2027 revenue falls below ~\$700M and the bear case (\$4.95) becomes the base — downgrade to REDUCE on confirmation.
- Volume normalization.** Retail trading volumes are among the most cyclical series in finance. A quiet 2027–28 compresses PFOF and crypto revenue simultaneously; the model assumes the 2026 boom fades, but a deeper trough hits the base case.
- Customer-acquisition intensity.** Retail brokerages rent growth with marketing spend. A CAC arms race against Robinhood and the incumbents keeps margins below the bull path; the base case assumes self-clearing savings only offset this drag.

- **Governance and track-record discount.** Short public history (listed April 2025), founder control, and SPAC provenance keep a structural discount in the multiple — priced in via the 12% base discount, but capable of widening on any misstep.
- **Regulatory contagion beyond PFOF.** Leverage caps, gamification scrutiny, and adjacent rules in the UK/EU could raise compliance costs or constrain the product in Webull's growth markets.

### What would change our mind

The BUY breaks if US payment for order flow is banned, or take-rates compress by  $\geq 30\%$  with no international offset — operationalized as 2027 revenue below ~\$700M. That outcome converts the bear case into the expected value and the \$9 target with it; the rating would move to REDUCE/SELL on confirmation. Short of that, volume softness or margin pressure is already priced into the \$4.95 bear that the weighted target absorbs. To the upside, three consecutive clean quarters with accelerating funded-account growth would justify revisiting fair value materially higher.

## 7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

*This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.*